

SBA 7(a) Business Acquisition Lending - Program Summary (fixture)

This summary describes the standard terms a lender applies to a change-of-ownership loan under the 7(a) program. It is a fixture for testing and not guidance.

1. Maximum loan amount. The maximum gross loan amount under 7(a) is \$5,000,000. The guaranteed portion is 75% for loans above \$150,000 and 85% for loans of \$150,000 or less.

2. Equity injection

For a complete change of ownership the borrower must inject equity of at least 10% of the total project cost. Seller debt may count toward the equity injection only when it is on full standby (no payments of principal or interest) for the entire term of the 7(a) loan, and only up to half of the required injection.

3. Maturity. Loans financing a business acquisition without real estate have a maximum maturity of 10 years. Where real estate is the largest component of the loan, the maturity may be up to 25 years.

4. Guarantees and collateral

Each owner of 20% or more of the applicant business must provide an unlimited personal guarantee. The lender must take available collateral, including the assets of the business acquired, but a loan is not declined solely for lack of collateral.

5. Repayment ability. The lender must document that the business's historical and projected cash flow covers the proposed debt service. Lenders commonly require a debt service coverage ratio of at least 1.25 on a trailing twelve month basis.

6. Guarantee fee. The upfront guarantee fee ranges from 2% to 3.75% of the guaranteed portion depending on loan size and maturity, and may be financed as part of the loan.